

Chapter XII

Miscellaneous Instructions

101. Participation in Currency Options

Non-deposit taking NBFCs are allowed to participate in the designated currency options exchanges recognized by SEBI, as clients, subject to the guidelines of Foreign Exchange Department of the Reserve Bank, only for the purpose of hedging their underlying forex exposures. Disclosures shall be made in the balance sheet regarding transactions undertaken, in accordance with the guidelines issued by SEBI.

102. Introduction of Interest Rate Futures

Non-deposit taking NBFCs may participate in the interest rate futures market permitted on recognized stock exchanges as trading members, subject to adherence to instructions contained in '[Rupee Interest Rate Derivatives \(Reserve Bank\) Directions, 2019](#)' dated June 26, 2019, as amended from time to time.

103. Ready Forward Contracts in Corporate Debt Securities

103.1 Non-deposit taking NBFCs are eligible to participate in repo transactions in corporate debt securities. They shall comply with '[Repurchase Transactions \(Repo\) \(Reserve Bank\) Directions, 2018](#)' dated July 24, 2018, as amended from time to time and also adhere to the following instructions.

(i) Capital Adequacy

Risk weights for credit risk for assets that are the collateral for such transactions as well as risk weights for the counterparty credit risk shall be as applicable to the issuer/ counterparty under [paragraphs 84](#) and [85](#) of these Directions.

(ii) Classification of balances in the accounts

Classification of balances in the various accounts viz. repo account, reverse repo account etc. shall be done in the relevant schedules similar to that of banks.

103.2 In all other matters related to such repo transactions, non-deposit taking NBFCs, shall follow the directions and accounting guidelines issued by Financial Markets Regulation Department of the Reserve Bank.

104. Undertaking of Point of Presence (PoP) Services under Pension Fund Regulatory and Development Authority for National Pension System (NPS)

NBFCs which comply with the prescribed CRAR and made net profit in the preceding financial year be permitted to undertake PoP services under PFRDA for NPS after registration with PFRDA. Eligible NBFCs extending such services shall ensure that the NPS subscription collected by them from the public is deposited on the day of collection itself (T+0 basis; where T is the date of receipt of clear funds, either by cash or any other mode) with the Trustee Bank. The deposits shall be made in the Trustee Bank account opened for this purpose under the regulations framed by PFRDA for NPS. NBFCs conducting PoP services shall strictly adhere to the guidelines framed by PFRDA. Any violation of the instructions above would invite supervisory action, including but not limited to cancellation of permission to undertake PoP services.

105. Licensing as Authorised Dealer- Category II

105.1 In order to increase the accessibility and efficiency of forex services extended to the members of the public for their day-to-day non-trade current account transactions, non-deposit taking NBFC-ICC shall be eligible for Authorized Dealer- Category II (AD-Cat II) licence, subject to meeting the following conditions:

- (i) NBFCs offering such services shall have a 'minimum investment grade rating'.
- (ii) NBFCs offering such services shall put in place a board approved policy on
 - (a) managing the risks, including currency risk, if any, arising out of such activities and
 - (b) handling customer grievances arising out of such activities.

A monitoring mechanism, at least at monthly intervals, shall be put in place for such services.

105.2 The eligible NBFCs desirous of undertaking AD-Cat II activities shall approach the Reserve Bank, FED, Central Office, Mumbai for the AD-Cat II licence.

106. Appointment of Internal Ombudsman

NBFCs fulfilling the criteria laid down under the circular on ['Appointment of Internal Ombudsman by Non-Banking Financial Companies'](#) dated November 15, 2021 shall appoint the Internal Ombudsman and adhere to the corresponding guidelines.